

finance scholars simply call it herding.⁴ But by protecting their own fee income, fund managers compromise their ability to produce superior returns for their outside investors.

FIGURE 9-2 The Funnel of Fund Performance

Looking back from December 31, 2002, how many U.S. stock funds outperformed Vanguard 500 Index Fund?

One year:
1,186 of 2,423 funds (or 48.9%)

Three years:
1,157 of 1,944 funds (or 59.5%)

Five years:
768 of 1,494 funds (or 51.4%)

Ten years:
227 of 728 funds (or 31.2%)

Fifteen years:
125 of 445 funds (or 28.1%)

Twenty years:
37 of 248 funds (or 14.9%)

Source: Lipper Inc.

Because of their fat costs and bad behavior, most funds fail to earn their keep. No wonder high returns are nearly as perishable as unrefrigerated fish. What's more, as time passes, the drag of their excessive expenses leaves most funds farther and farther behind, as Figure 9.2 shows.⁵